

Europe, your homeowners insurance should cover the loss. Check your policy carefully. If you live in a high-crime area, you may have to pay extra for it.

Most policies include some **loss of use** protection. If your home is damaged and you're forced to live elsewhere for a while, this coverage will pay the cost of your hotel bills, meals, and other basic living expenses as long as they are reasonable. Don't expect the policy to pay for lavish hotels or restaurants. Typical coverage is 20% of the total amount of insurance you bought for your home's structure.

If you work at home, your home office equipment is usually not covered by your homeowners policy. If the business is small, you can get additional coverage by purchasing an endorsement. For larger businesses, you'll have to purchase a separate policy. Ask an insurance agent for details.

If you live in a co-op or condo, you'll need to purchase a special policy known as HO-6 to protect your personal property and the unit you own, but not the common property owned by the association.

PLANNING FOR THE WORST: CATASTROPHE INSURANCE

After Hurricane Katrina devastated the Gulf Coast in 2005, a relatively obscure area of home insurance—flood coverage—became a central issue for millions of Americans living in areas the federal government classifies as flood-prone. Because normal homeowners and renters policies won't pay to repair water damage caused by storms or other natural disasters, you need separate flood insurance to collect if a hurricane swamps your house.

Most companies don't cover flood damage. Instead, the federal government offers flood insurance at a low cost in an effort to protect people and their homes. (But unfortunately, many people weren't paying attention. Only 66% of the homeowners in New Orleans' Orleans Parish had flood insurance before Katrina because many thought their basic coverage would protect them. The lawsuits were still going on years later.)

Look up your home's flood risk (and find out how to buy a policy if you need one) on the National Flood Insurance Program's